

INDEPENDENT AUDITORS' REPORT

To The Shareholders of Bangladesh Infrastructure Finance Fund Limited (BIFFL)

Report on the Financial Statements

We have audited the accompanying financial statements of Bangladesh Infrastructure Finance Fund Limited (BIFFL) which comprise the Balance Sheet as at 31 December 2016 and the Profit & Loss Account, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements of the company in accordance with Bangladesh Financial Reporting Standards (BFRS), Financial Institutions Act 1993, the rules and regulations issued by the Bangladesh Bank, the Companies Act 1994, the Securities and Exchanges Rules 1987 and other applicable laws and regulations. This responsibility includes designing, implementing, and maintaining internal control relevant to the preparation and fair presentation of these financial statement of the company that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on the financial statements of the company based on our audit. We conducted our audit in accordance with Bangladesh Standards on Auditing (BSA). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements of the company are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements of the company. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the company, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements of the company in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements of the company.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion:

In our opinion, the financial statements of the company prepared in accordance with Bangladesh Financial Reporting Standards (BFRSs), give a true and fair view of the state of the Financial Position of the company as at 31 December 2016 and of the results of its financial performance and statement of cash flows for the year then ended and comply with the Financial Institutions Act 1993, The Companies Act 1994, the rules and regulations issued by the Bangladesh Bank, the Securities and Exchanges Rules 1987 and other applicable laws and regulations.



Report on Other Legal and Regulatory Requirements:

In accordance with companies Act 1994, Securities and Exchange Rules 1987, the Financial Institutions Act 1993 as amended in 2013 and the rules and regulations issued by Bangladesh Bank, we also report the following:

- (i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;
- (ii) in our opinion, proper books of account as required by law have been kept by the Company so far as it appeared from our examination of those books;
- (iii) the Balance Sheet and Profit and Loss Account together with the annexed notes 1 to 45 dealt with by the report are in agreement with the books of account and returns;
- (iv) the expenditure incurred was for the purpose of the company business;
- (v) the financial position of the company as at 31 December 2016 and the profit for the year then ended have been properly reflected in the financial statements and the financial statements have been drawn up in conformity with the Financial Institutions Act, 1993 and in accordance with the accounting rules and regulations issued by the Bangladesh Bank;
- (vi) the financial statements conform to the prescribed standards set in the accounting regulations issued by the Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;
- (vii) adequate provisions have been made for advances and other assets which are, in our opinion doubtful of recovery;
- (viii) the internal control and the compliance of the Company is satisfactory, and effective measures have been taken to prevent possible fraud, forgery and internal policies are being followed appropriately;
- (ix) the information and explanations required by us have been received and found satisfactory;
- (x) the BIFFL has no branches;
- (xi) 80% of the risk-weighted assets have been audited;
- (xii) we have spent approximately 630 man hours for the audit of books & accounts of BIFFL.



Dated, Dhaka;
13 May 2017

S. F. Ahmed & Co.

S. F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Ltd.

Balance Sheet
As at 31 December 2016

	Notes	Amount in Taka	
		2016	2015
PROPERTY AND ASSETS			
Cash	3	58,603,882	53,013,458
In hand (including foreign currencies)		478,374	13,458
Balance with Bangladesh Bank and its agents(including foreign currencies)		58,125,508	53,000,000
Balance with other banks and financial institutions	4	11,353,250,610	17,593,346,444
In Bangladesh		11,353,250,610	17,593,346,444
Outside Bangladesh		-	-
Money at call and short notice	5	-	-
Investments	6	2,505,544,789	-
Government		-	-
Others		2,505,544,789	-
Leases, loans and advances	7	7,790,365,136	4,358,268,450
Bills Purchased and discounted	8	-	-
Fixed assets including premises, furniture and fixtures	9	296,379,847	7,852,057
Other assets	10	2,426,109,706	2,983,794,652
Non-business assets	11	-	-
Total assets		24,430,253,970	24,996,275,061
LIABILITIES AND CAPITAL			
Liabilities			
Borrowings from banks, other financial institutions and agents	12	4,385,528	748,116,949
Deposits and other accounts	13	-	-
Current deposits		-	-
Bills payable		-	-
Savings deposits		-	-
Term deposits		-	-
Bearer certificate of deposit		-	-
Other deposits		-	-
Other liabilities	14	2,435,832,316	2,911,536,983
Total Liabilities		2,440,217,844	3,659,653,932
Capital / Shareholders' Equity		21,990,036,126	21,336,621,129
Paid up capital	15	20,100,000,000	19,400,000,000
Share premium	16	-	-
Statutory reserve	17	1,242,007,225	1,087,324,226
Other reserve	18	-	-
Retained earnings	19	648,028,901	849,296,903
Total liabilities and Shareholders' equity		24,430,253,970	24,996,275,061



Notes	Amount in Taka	
	2016	2015

OFF-BALANCE SHEET ITEMS :

Contingent liabilities

Acceptances and endorsements
Letter of guarantee
Irrevocable letter of credit
Bills for collection
Other contingent liabilities

-	-
-	-
-	-
-	-
-	-
-	-

Other commitments

Documentary credits and short term trade and related transactions

Forward assets purchased and forward deposits placed
Undrawn note issuance and revolving underwriting facilities
Undrawn formal standby facilities, credit lines and other commitments

Others

-	-
-	-
-	-
-	-
-	-
-	-

Total off-balance sheet items including contingent liabilities

-	-
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The annexed notes form an integral part of these financial statements.


Company Secretary
Mohammad M. Khan, ACS


Executive Director & CEO
S.M. Formanul Islam


Director
A.R.M Nazmus Sakib
Addl. Secretary, Finance Division


Chairman
Hedayetullah Al Mar
Sr. Secretary, Finance Div

Signed in terms of our separate report of even date annexed.



Dated, Dhaka
13 May 2017


S. F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited

Profit and Loss Account

For the year ended 31 December 2016

	Notes	Amount in Taka	
		2016	2015
Interest income from leases, loans and advances	21	412,661,561	188,049,291
Interest expenses on borrowings, deposits, etc	22	36,272,212	22,909,751
Net interest income		376,389,349	165,139,540
Investment income	23	111,305,553	-
Commission, exchange and brokerage		-	-
Other operating income	24	1,059,607,290	1,677,323,789
Total operating income		1,547,302,192	1,842,463,329
Salary and allowances	25	25,482,859	13,944,949
Rent, taxes, insurance, electricity, etc.	26	7,162,062	4,224,990
Legal expenses	27	2,691,756	1,112,807
Postage, stamp, telecommunication, etc.	28	2,117,637	274,763
Stationery, printing, advertisements, etc.	29	10,523,212	3,416,927
Managing Director's salary and allowances	30	9,083,160	5,593,211
Directors' fees	31	1,286,705	619,957
Audit fees	32	104,200	69,000
Depreciation and repairs of company's assets	33	25,582,091	5,494,391
Other operating expenses	34	16,538,115	6,744,149
Total operating expenses		100,571,797	41,495,144
Profit before provision		1,446,730,395	1,800,968,185
Provision for leases, loans and advances	35	59,936,697	33,250,490
Total provision		59,936,697	33,250,490
Total profit before income tax		1,386,793,698	1,767,717,695
Provision for income tax	36	613,378,700	765,354,655
Net profit after Tax & Provision		773,414,997	1,002,363,040
Appropriations:			
Statutory reserve	17	154,682,999	200,472,608
Retained surplus		618,731,998	801,890,432
Earnings per share (Restated)	37	3.85	4.99

The annexed notes form an integral part of these financial statements.



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Mohammad M. Khan, ACS



Executive Director & CEO
S.M. Formanul Islam



Director
A.R.M Nazmus Sakib
Addl. Secretary, Finance Division



Chairman
Hedayetullah Al Mamoon
Sr. Secretary, Finance Division



Signed in terms of our separate report of even date annexed.

Dated, Dhaka
13 May 2017

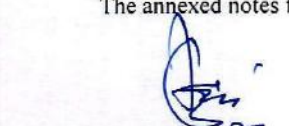

S. F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited

Statement of Cash Flows
For the year ended 31 December 2016

		Amount in Taka	
		2016	2015
A. CASH FLOW FROM OPERATING ACTIVITIES:			
Interest receipts in cash	412,661,561	188,049,291	
Interest payments in cash	(36,272,212)	(22,909,751)	
Dividend receipts in cash	20,015,625	-	
Interest receipts in cash from CP	28,437,500	-	
Cash payments to employees	(33,482,961)	(21,619,774)	
Cash payments to suppliers	(19,802,911)	(3,416,927)	
Income taxes paid	(816,773,044)	(1,468,902,697)	
Receipts from other operating activities	1,059,607,290	1,850,336,357	
Payments for other operating activities	(27,274,103)	(16,280,175)	
Cash generated from operating activities	587,116,746	505,256,324	
Increase/(decrease) in operating assets and liabilities, Statutory deposits			
Loans and advances to other banks	-	-	
Loans and advances to other customers	(3,432,096,686)	(3,325,204,258)	
Other assets	149,655,700	(130,894,754)	
Borrowings from Bank	(743,731,421)	748,116,949	
Other liabilities	62,828	1,109,721	
	(4,026,109,580)	(2,706,872,342)	
Net Cash Flow/(Used) in Operating Activities	(3,438,992,834)	(2,201,616,018)	
B. CASH FLOW FROM INVESTING ACTIVITIES:			
Purchase of property, plant and equipment	(169,967,787)	(3,187,562)	
Investment/Proceed from securities	(2,505,544,789)	-	
Net Cash Flow/(Used) in Investing Activities	(2,675,512,576)	(3,187,562)	
C. CASH FLOW FROM FINANCING ACTIVITIES:			
Dividend paid	(120,000,000)	(100,000,000)	
Issuance of shares	-	-	
Net cash Flow/(Used) in Financing Activities	(120,000,000)	(100,000,000)	
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)	(6,234,505,410)	(2,304,803,580)	
E. Effects of exchange rate changes on cash and cash equivalents	-	-	
F. Cash and cash equivalents at beginning of the year	17,646,359,902	19,951,163,482	
G. Cash and cash equivalents at end of the year (D+E+F)	11,411,854,492	17,646,359,902	
Cash and cash equivalents			
Cash in hand	478,374	13,458	
Balance with Bangladesh Bank and its agents bank(s)	58,125,508	53,000,000	
Balance with other banks and financial institutions	11,353,250,610	17,593,346,444	
Money at call and short notice	-	-	
	11,411,854,492	17,646,359,902	

The annexed notes form an integral part of these financial statements.


Company Secretary
Mohammad M. Khan, ACS


Executive Director & CEO
S.M. Formanul Islam

 
Director Chairman
A.R.M Nazmus Sakib Hedayetullah Al Mamoon
Addl. Secretary, Finance Division Sr. Secretary, Finance Division



Bangladesh Infrastructure Finance Fund Limited
Statement of Changes in Equity
For the year ended 31 December 2016

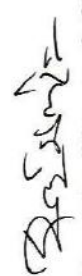
Amount in Taka

Particulars	Paid-up Capital	Statutory Reserve (Tk.)	Retained Earnings (Tk.)	Total
Balance as on 1 January, 2015	16,000,000,000	886,851,618	3,547,406,471	20,434,258,089
Net profit for the year	-	-	1,002,363,040	1,002,363,040
Dividend paid	-	-	(100,000,000)	(100,000,000)
Issue of share capital	3,400,000,000	-	(3,400,000,000)	-
Appropriations made during the year	-	200,472,608	(200,472,608)	-
Balance as on 31 December 2015	19,400,000,000	1,087,324,226	849,296,903	21,336,621,129
Balance as on 1 January, 2016	19,400,000,000	1,087,324,226	849,296,903	21,336,621,129
Net profit for the year	-	-	773,414,997	773,414,997
Dividend paid	-	-	(120,000,000)	(120,000,000)
Issue of share capital	700,000,000	-	(700,000,000)	-
Appropriations made during the year	-	154,682,999	(154,682,999)	-
Balance as on 31 December 2016	20,100,000,000	1,242,007,225	648,028,901	21,990,036,126

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Director
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Hedayetullah Al Mamoon
Sr. Secretary, Finance Division

Bangladesh Infrastructure Finance Fund Ltd.
Liquidity Statement
Asset and Liability Maturity Analysis
as at 31 December 2016

Particulars	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Amount in Taka	
						Total	
Assets							
Cash in hand (including balance with Bangladesh Bank and its agents)	478,374	-	-	-	58,125,508	58,603,882	
Balance with other banks and financial institutions	39,650,043	8,485,200,425	2,828,400,142	-	-	11,353,250,610	
Money at call on short notice	-	-	-	-	-	-	
Investment	-	-	2,055,544,789	-	450,000,000	2,505,544,789	
Loans and advances	-	1,012,747,468	2,492,916,844	2,726,627,798	1,558,073,027	7,790,365,136	
Fixed assets including land, buildings, furniture and fixtures	-	-	44,456,977	251,922,870	-	296,379,847	
Other assets	70,846,831	25,283,665	1,819,582,280	510,396,931	-	2,426,109,706	
Non banking assets	-	-	-	-	-	-	
Total property & assets	110,975,248	9,523,231,558	9,240,901,031	3,488,947,598	2,066,198,535	24,430,253,970	
Liabilities							
Borrowing from Bangladesh Bank, other	-	-	-	4,385,528	-	4,385,528	
Deposits	-	-	-	-	-	-	
Other accounts	-	-	-	-	-	-	
Provision and other liabilities	6,259,343	730,749,695	633,316,402	1,065,506,876	-	2,435,832,316	
Total liabilities	6,259,343	730,749,695	633,316,402	1,069,892,404	-	2,440,217,844	
Net liquidity (gap)/excess	104,715,905	8,792,481,863	8,607,584,629	2,419,055,194	2,066,198,535	21,990,036,126	


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Bangladesh Infrastructure Finance Fund Limited
Notes to the Financial Statements
For the year ended December 31, 2016

1.0 Reporting entity

1.01 Company's profile

Bangladesh Infrastructure Finance Fund Limited (BIFFL) started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act, 1994 (ACT XVIII of 1994). The Authorized Share Capital of the Company is BDT 100.00 (One hundred) billion divided into 1 (one) billion shares of BDT 100.00 each and the Subscribed Share Capital or Paid-up Capital is BDT 19.40 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of Business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act, 1993.

Presently, the company has an 8-member Board of Directors. The overall Policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes Secretary, Prime Minister's Office; Secretary, Power Division, MoPEMR; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Road's Division, MoC; Secretary, Bridges Division, MoC; and Additional Secretary, Finance Division, MoF. Secretary, Finance Division, Ministry of Finance is the Chairman of the Board and Executive Director & CEO is an Ex-officer Member.

1.02 Nature of business of the company

The Government of Bangladesh has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as conduit for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for Infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest companies that are implementing infrastructure projects in Bangladesh.



The main goals of the company are to provide long-term capital to critical infrastructure projects in Bangladesh, with a focus on promoting the evolving PPP program; to catalyze co-financing from private capital sources through the comfort of a professional domestic fund entity's presence in an investment; to provide a unique vehicle for capital markets development, by providing a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle; and to overcome current limitations on capital markets oversight and governance by creating a self-sustaining 'regulation-by-contract' structure.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

2.0 Significant accounting policies and basis of preparation of financial statements

2.01 Basis of preparation

The Financial Statements have been prepared on the basis of going concern concept and basically on accrual method under historical cost convention in accordance with Generally Accepted Accounting Principles (GAAP) and after due compliance with International Accounting Standards(IAS)/International Financial Reporting Standards (IFRS) so far adopted in Bangladesh as Bangladesh Accounting Standards (BAS)/ Bangladesh Financial Reporting Standards(BFRS) by the Institute of Chartered Accountants of Bangladesh, the Financial Institution Act 1993, the Companies Act 1994 and other applicable laws and regulations.

Statement of compliance

The financial statements of the company have been prepared in accordance with IFRS as adopted by the ICAB and as per the requirements of DFIM circular No. 11 dated December 23, 2009 issued by the Department of Financial Institution and Markets of Bangladesh bank.

The financial institution has departed from those contradictory requirements of BFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.01.01 Investments in shares and securities

BFRS:

As per requirements of BAS 39 'Financial Instruments: Recognition and Measurement' investments in shares and securities generally falls either under "at fair value through Profit and Loss Account" or under "available for sale" where any change in the fair value at the year-end is taken to Profit and Loss Account or Revaluation Reserve Account respectively.



Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002 of Bangladesh Bank investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited statements of financial position (balance sheet) respectively. Provision should be made for any loss arising from diminution in value of investments.

2.01.02 Provision on loans and advances**BFRS:**

As per BAS 39 an entity should start the impairment assessment by considering whether objective evidence of impairment exists for financial assets that are individually significant. For financial assets which are not individually significant, the assessment can be performed on an individual or collective (portfolio) basis.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 a general provision at 0.25% to 5% under different categories of unclassified loans (good/standard loans) has to be maintained.

2.01.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in BAS 39. As such some disclosure and presentation requirements of BFRS 7 'Financial Instruments: Disclosures' and BAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

2.01.04 Financial guarantees**BFRS:**

As per BAS 39 financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.



2.01.05 Cash and cash equivalents

BFRS:

Cash and cash equivalents items should be reported as cash item as per BAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Some cash and cash equivalent items such as 'money at call and on short notice', T-bills, Prize bond are not shown as cash and cash equivalent. Money at call and on short notice is shown as face item in statement of financial position and T-bills, Prize bonds are shown in Investment.

2.01.06 Non business assets

BFRS:

No indication of non-business assets is found in any BFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, there must exist a face item named Non-business asset.

2.01.07 Statement of cash flows

BFRS:

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, statement of cash flows is a mixture of direct and indirect method.

2.01.08 Balance with Bangladesh Bank (CRR)

BFRS:

Balance with Bangladesh Bank should be treated as other assets as it is not available for use in day to day operations as per BAS 7.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.



2.01.09 Off balance sheet items

BFRS:

There is no concept of off balance sheet items in any BFRS; hence there is no requirement of disclosure to off balance sheet items.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, off balance sheet items e.g. L/C, L/G must be disclosed separately in the face of the statement financial position (balance sheet).

2.01.10 Disclosure of appropriation of profit

BFRS:

There is no requirement to show appropriation of profit in the face of the statement of comprehensive income.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, an appropriation of profit should be disclosed in the face of statement of comprehensive income.

2.01.11 Other comprehensive income

BFRS:

As per BAS 1 'Presentation of Financial Statements', Other Comprehensive Income is a component of financial statements or the elements of Other Comprehensive Income are to be included in a Single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include Other Comprehensive Income; and the elements of Other Comprehensive Income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the Other Statement of Comprehensive Income. However elements of OCI, if any, are shown in the statement of changes in equity.

2.01.12 Loans and advance net of provision

BFRS:

Loans and advances should be presented as net of provisions.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.



2.02 Integral components of financial statements

The Financial Statements of the Company include the following components:

1. Statement of financial position (Balance Sheet) as at 31 December, 2016.
2. Statement of comprehensive income (Profit and Loss A/C) for the year ended 31 December, 2016.
3. Statement of Cash Flows for the year ended 31 December, 2016.
4. Statement of Changes in Equity for the year ended 31 December, 2016.
5. Liquidity Statement as at 31 December, 2016.
6. Notes to the Financial Statements.

2.03 Use of estimate & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and BFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future period affected.

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the company are as follows:

2.03.01 Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.03.02 Impairment Losses on Loans and Advances

The company review their individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Income Statement. In particular, Management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance made. Loans and advances that have been



assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorising them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios etc.) and judgment on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates, sovereign rating etc.).

2.03.03 Impairment of Available for Sale Investments

The company review their debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgments as applied on the individual assessment of loans and advances. The company also record impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost.

2.03.04 Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against which such tax losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax-planning strategies.

2.03.05 Fair Value of Property, Plant and Equipment

The Land and Buildings of the company are reflected at fair value. The company engaged independent valuation specialist to determine fair value of land and building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets.

2.03.6 Useful Life-time of the Property, Plant and Equipment

The company review the residual values, useful lives and methods of depreciation of Property, Plant and Equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.03.07 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.



2.04 Statement of cash flows

The cash flow statement has been prepared using the Direct Method as mention in line with Bangladesh Accounting standard 7 'Statement of cash flows'.

2.05 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with Bangladesh Accounting Standard 1 'Presentation of Financial Statements' and Bangladesh Accounting Standard 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL Ltd. applies the accounting disclosure principles consistently from one period to the next.

2.06 Reporting period

These financial Statements cover one calendar year from 01 January 2016 to 31 December 2016.

2.07 Presentation and functional currencies

The figures of the financial statements are presented in Bangladeshi currency (BDT) which is company's functional currency and have been rounded off to the nearest integer.

2.08 Assets and basis of their valuation

2.08.01 Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with Bangladesh Bank highly liquid financial assets.

2.08.02 Investment in securities

Investment in marketable ordinary shares as well as investment in non-marketable shares have been shown at cost. Full provision for diminution in value of shares has been made as per Bangladesh Bank guidelines. Market value of securities has been determined on the basis of the value of securities at the last trading day of the period (last trading day for the year was 30 December, 2016). Unrealized gain on investment was not recognized as income in the financial statements.

The company has no investment in securities.

2.08.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans and Off-Balance Sheet Items, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances review by the management and instruction contained in FID Circular no. 08 dated 3 August 2002, FID circular no. 03 and dated 03 May 2006.



a) Interest on loans and advances

Interest is calculated on a daily product basis but charged and accounted for on accrual basis. Interest is calculated on unclassified loans and advances and recognized as income during the year. Interest on classified loans and advances is kept in suspense account as per Bangladesh Bank instructions and such interest is not accounted for as income until realised from borrowers. Interest is not charged on bad and loss loans as per guidelines of Bangladesh Bank.

b) Provision for loans and advances

Provision for loans and advances are made on quarter basis as well as year-end review by management following instructions contained in FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 issued by Bangladesh Bank. General Provision on unclassified loans and advances and specific provision on classified loans & advances are given below:

c) Rate of provision

Particulars	All loan/lease
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

d) Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the statement of financial position.

e) Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. These written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.



2.08.04 Property, plant and equipment

2.08.04.01 Owned assets

Own property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per Bangladesh Accounting Standard 16 'Property, Plant and Equipment'.

2.08.04.02 Leased assets

Leasehold assets are accounted for as Finance Lease and capitalized at the inception of the lease at the fair value of the leased property or at the present value of the minimum lease payments, whichever is lower as per Bangladesh Accounting Standard 17 'Leases'. The corresponding obligation under the lease is accounted for as Liability.

2.08.04.03 Subsequent expenditure on property, plant and equipment

Subsequent expenditure is capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

2.08.04.04 Depreciation on property, plant & equipment and intangible assets

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. On newly acquired assets depreciation is charged for the full month irrespective of date of acquisition.

Sl. No.	Category of Fixed assets	Rate of Depreciation/Amortisation
1.	Land & Land Development	0%
2.	Computer & IT Equipment	33.33%
3.	Office Equipment	10%
4.	Furniture & Fixtures	10%
5.	Motor Vehicles	20%
6.	Building	10%
7.	Civil Construction	50%
8.	Accounting Software	50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.



2.08.04.05 Impairment of property, plant and equipment

The carrying amount of the assets should be reduced to its recoverable amount when carrying amount of an asset is exceeding the recoverable amount of that asset. That reduction is an impairment loss hence recognized as expenses in the statement of comprehensive income (profit or loss account).

2.08.05 Leases

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception date. The arrangement is assessed for whether fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

(a) The company as a lessee

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to income statement on a straight-line basis over the period of the lease.

(ii) Finance lease

Leases of assets where the company has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are recognised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charges, are included in current and non-current borrowings. No assets has acquired by the company as a finance lease.

(b) The company as a lessor

Leases where the company does not transfer substantially all of the risk and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned. No assets have given by the company as a lease.



2.08.06 Intangible assets

The Company's intangible assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is presented as a separate line item in the statement of comprehensive income (profit and loss account).

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

<u>Items of intangible Assets</u>	<u>Estimate useful life</u>
Computer software	3.33 years

2.08.07 Non-current assets held for sale

Non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition, management has committed to the sale, and the sale is expected to have been completed within one year from the date of classification.

The company has no such asset which held for sale.

2.08.08 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamp. Details are shown in Note-10. Receivables are recognised when there is a contractual right to receive cash or another financial asset from another entity.



2.08.09 Non-business assets

Non-business assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.09 Basis for valuation of liabilities and provisions

2.09.01 Provision for tax

a. Current tax

Provision for Current Tax is made on the basis of the profit for the period as adjusted for taxation purpose in accordance with the provision of Income Tax Ordinance, 1984 and amendments made thereof.

b. Deferred tax

The company has adopted a policy of recognition of deferred tax in accordance with Bangladesh Accounting Standard 12 'Income Taxes'. Deferred tax is provided using the liability method for all temporary timing differences between the carrying amount of assets and liabilities for financial reporting purposes and the amount used for tax purposes. The amount of deferred tax is determined at the effective income tax rate prevailing at the Balance Sheet date.

2.09.02 Employees' benefit obligation

Defined contribution plan

The Company started contributory provident fund scheme for its employees as per provident fund rules. The fund consists of subscription of all participatory employees and contribution from the company at a predetermined rate. The fund is administered by a Board of Trustees and invested separately from the Company's assets.

Defined benefit plan

The Company started operating gratuity scheme as per gratuity rules which is administered by the Labour Act 2006.

2.09.03 Write-off

Write-off describes a reduction in recognized value. It refers to recognized or the zero value of an assets. Generally it refers to an investment for which a return on the investment is now impossible or unlikely. The items potential returns is thus calculated and removed (written-off) from the business balance sheet.



2.10 Capital and shareholders' equity

2.10.01 Capital management

The company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the company and provide the company's shareholder with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the company. The company's finance and risk management department are key to implementing the company's capital strategy and managing capital. Capital is managed using both regulatory control measure and internal matrix.

2.10.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.10.03 Statutory reserve

As per the Financial Institution Regulations 1994 it is required for the company to transfer 20% of its current year's profit before tax to reserve until such reserve equals to its paid up capital.

2.10.04 Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

2.11 Contingent liabilities and contingent assets

A contingent liability is –

Any possible obligation that arises from the past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or any present obligation that arises from past events but is not recognised because:

- it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
- the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits is reliably estimated.

Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.



2.12 Materiality, aggregation and off setting

Each material item as considered by management significant has been displayed separately in the financial statements. No amount has been set off unless the Company has legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

The values of any asset or liability as shown in the statement of financial position (balance sheet) are not off-set by way of deduction from another liability or asset unless there exist a legal right therefore. No such incident existed during the year.

2.13 Revenue recognition

2.13.01 Income from lease finance

The lease transactions are accounted for under finance lease in line with IAS -17 as adopted by the Institute of Chartered Accountants of Bangladesh. The aggregate lease receivables including un-guaranteed residual value throughout the lease term are recorded as gross receivables while excess of gross receivables over the total acquisition cost including interest during the period of acquiring the lease equipment constitutes the unearned lease income

2.13.02 Income from direct finance

Direct finance operation consists of long term, short term and working capital finance, books of account for which are maintained based on the accrual method of accounting. Interest earnings from direct finance are recognized as operational revenue periodically.

2.13.03 Dividend income

Revenue is recognised when the company right to receive the payment is established, which is generally when the shareholders approve the dividend.

2.13.04 Other operational income

Other operational income is recognized as and when received. Such income comprises of the following:

- a. Appraisal and documentation fees
- b. Commitment fees,
- c. Supervision fees,
- d. Delinquent charge,
- e. Due diligence fees, and
- f. Miscellaneous receipts.



2.14 Earnings per share

Earnings per shares is calculated by dividing the profit or loss attributable to ordinary shares of the BIFFL by the weighted average number of ordinary shares outstanding during the year. BIFFL calculates EPS in accordance with Bangladesh accounting standard 33 'Earnings per Share' which has been shown in the profit and loss and computation is stated in Note no. 37.

Diluted Earnings per share is not required to be calculated for the year as there is no scope for dilution during the year.

2.15 Presentation of operating segments

There are no reportable operating segments of BIFFL as on reporting date according to the definition of operating segments of IAS 14 and IFRS 8.

2.16 Contingent assets & liabilities

The Company does not recognize contingent liabilities and contingent assets but disclosed the existence of contingent liabilities and assets in the financial statements. A contingent liability is a probable obligation that arises from past events whose existence will be confirmed by occurrence or non-occurrence of uncertain future events not within the control of the company or a present obligation that is not recognized because outflow of resources is not likely or obligation cannot be measured reliably.

2.17 Liquidity statements

The liquidity statement has been prepared in accordance with remaining maturity grouping of Assets and Liabilities as of the close of the reporting period as per following bases:

- Balance with other company's and financial institutions are on the basis of their maturity term.
- Investments are on the basis of their residual maturity term.
- Loans and Advances are on the basis of their repayment /maturity schedule.
- Property, plant and equipments are on the basis of their useful lives.
- Other assets are on the basis of their adjustments terms.
- Borrowings from other company's and financial institutions are on the basis of their maturity/repayment schedule.
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends.
- Other liabilities are on the basis of their settlement terms.

2.18 Events after the reporting period

Events after the reporting period that provide additional information about the company's position at the statement of financial position date are reflected in the financial statements in Note no. 45 as per Bangladesh Accounting Standards BAS-10: 'Events after the reporting period'.



2.19 Compliance report on Bangladesh accounting standards (bas) and Bangladesh financial reporting standards (BFRS)

The following Accounting and Reporting Standards are applicable for Bangladesh Infrastructure Finance Fund Limited and which are followed in preparing the Financial Statements of the Company:

Sl. No.	Name of the BAS	BAS No.	Status
01	Presentation of Financial Statements	01	Applied *
02	Inventories	02	Not Applicable
03	Cash Flow Statements	07	Applied
04	Accounting Policies, Changes in Accounting estimates and Errors	08	Applied
05	Events after the Balance Sheet Date	10	Applied
06	Construction Contract	11	Not Applicable
07	Income Taxes	12	Applied
08	Segment Reporting	14	Not Applicable
09	Property, Plant and Equipment	16	Applied
10	Leases	17	Applied
11	Revenue	18	Applied
12	Employee Benefits	19	Applied
13	Accounting for Government Grants and Disclosure of Government Assistance	20	Not Applicable
14	The Effects of Changes in Foreign Exchange Rates	21	Applied
15	Borrowing Costs	23	Not Applicable
16	Related Party Disclosures	24	Applied
17	Accounting and Reporting by Retirement Benefit Plans	26	Applied
18	Consolidated and Separate Financial Statements	27	Not Applicable
19	Investments in Associates	28	Not Applicable
20	Interest in Joint Ventures	31	Not Applicable
21	Financial Instruments: Presentation	32	Applied
22	Earnings per Share	33	Applied
23	Interim Financial Reporting	34	Applied
24	Impairment of Assets	36	Not Applied
25	Provision, Contingent Liabilities and Contingent Assets	37	Applied
26	Intangible Assets	38	Applied
27	Financial Instruments: Recognition and Measurement	39	Applied
28	Investment Property	40	Not Applicable
29	Agriculture	41	Not Applicable



* As the regulatory requirements differ with the standards, relevant disclosures are made in accordance with Bangladesh Bank's requirements.

Sl. No.	Name of the BFRS	BFRS No.	Status
01	First Time adoption of IFRS	1	Not Applicable
02	Share Based Payment	2	Not Applicable
03	Business Combinations	3	Not Applicable
04	Insurance Contracts	4	Not Applicable
05	Non-current Assets held for sales and discontinued operations	5	Applied
06	Exploration for and Evaluation of Mineral Resources	6	Not Applicable
07	Financial Instruments: Disclosures	7	Applied
08	Operating Segments	8	Not Applicable
09	Financial Instruments	9	Applied
10	Consolidated financial statements	10	Not Applicable
11	Joint Arrangements	11	Not Applicable
12	Discloser of interest in other entities	12	Not Applicable
13	Fair value measurement	13	Applied

2.20 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risks sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December, 2011. The guidelines came into force from 1 January, 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar – 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The Accord gives a choice of some sophisticated approaches to address risks, and adoption of a Particular approach depends on the risk measurement capabilities and robustness of the systems in place in a Financial Institution. A Standardized Approach has been the preliminary choice of FIs for the credit risk calculation.



Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- The risks pertaining to interest rate related instruments and equities in the trading book;
- Foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFLs' total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator approach (a fixed percentage of gross income amount), Standardized approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement approach (Statistical measure of FI's operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.21 Stress testing

Stress Testing is an important risk management tool that is used by the Financial Institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an Indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

- Providing forward-looking assessment of risk;
- Overcoming limitations of models and historical data;
- Supporting external and internal communication;
- Feeding into capital and liquidity planning procedures;
- Informing the setting of an FI's risk tolerance; and
- Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guideline have been issued by Bangladesh bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.



		Amount in Taka	
		2016	2015
3.00 Cash			
Cash in hand (3.1)		478,374	13,458
Balance with Bangladesh Bank and its agents Bank(s)		58,125,508	53,000,000
		58,603,882	53,013,458
3.1 Cash in hand			
In local currency		478,374	13,458
In foreign currency		-	-
		478,374	13,458
3.2 Balance with Bangladesh Bank and its agents Bank(s)			
Balance with Bangladesh Bank		58,125,508	53,000,000
In foreign currency		-	-
		58,125,508	53,000,000
3.3 Balance with Bangladesh Bank			
Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note 3.4) and Statutory Liquidity Reserve (note 3.5) have been calculated and maintained in accordance with Financial Regulations 1994 and FID Circular No. 06 dated 6th November, 2003 and FID Circular No. 02 dated 10th November, 2004.			
3.4 Cash Reserve Requirement (CRR)			
CRR has been calculated at the rate of 2.5% on Total Term Deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6th November, 2003 and FID Circular No. 02 dated 10th November, 2004. Total Term Deposits means Term or Fixed Deposits, Security Deposit against Lease/Loan and other Term Deposits received from individuals and institutions (except Banks and Financial Institutions).			
Required reserve		-	-
Actual reserve held		58,125,508	53,000,000
Surplus / (Deficit)		58,125,508	53,000,000
3.5 Statutory Liquidity Reserve (SLR)			
SLR has been calculated at the rate of 5% of total liabilities, including CRR of 2.5% on Total Term Deposits. SLR is maintained in liquid assets in the form of Cash in Hand, balance with Bangladesh Bank, balance with other Banks & Financial Institutions, Investment at Call, unencumbered Treasury Bills, Prize Bond, Savings Certificates & any other assets approved by Bangladesh Bank.			
Required reserve		13,994,924	-
Actual reserve held		11,371,726,075	17,489,435,462
Surplus / (Deficit)		11,357,731,151	17,489,435,462
4 Balance with banks and other financial institutions			
Inside Bangladesh			
Current accounts (Note-4.1)		176,795	8,655,752
Short term deposit accounts (Note-4.2)		39,473,248	148,255,230
Fixed deposit accounts (Note-4.3)		11,313,600,567	17,436,435,462
		11,353,250,610	17,593,346,444
Outside Bangladesh		-	-
		11,353,250,610	17,593,346,444

The company does not maintain any account outside of Bangladesh



4.1 Current account

One Bank Ltd.
Dutch Bangla Bank Ltd.

4.2 Short term deposit account

One Bank Ltd.
NRB Bank Ltd.
United Commercial Bank Ltd.
Shahjalal Islami Bank
Sonali Bank Ltd.

4.3 Fixed deposit accounts

AB Bank Ltd.
First Security Islami Bank Ltd.
NRB Commercial Bank Ltd.
NRB Bank Ltd.
One Bank Ltd.
Midland Bank Ltd.
Union Bank Ltd.
Janata Bank Ltd.
SBAC Bank Ltd.
IDLC Finance Corporation
Premier Bank Ltd.
Modhumoti Bank Ltd.
Shahjalal Islami Bank Ltd.
City Bank Ltd.
Delta Brac Housing Corp.
Meghna Bank Ltd.
EXIM Bank Ltd.
Lanka Bangla Finance Ltd.
Trust Bank Ltd.
NRB Global bank Ltd.
Farmers Bank Ltd.
Al Arafah bank Ltd.
National Bank Ltd.
Jamuna Bank Ltd.
Rupali Bank Ltd.
United Commercial Bank Ltd.
Bank Asia
International Leasing
ICB Islamic Bank Ltd
IPDC
IFIC Bank Ltd.
FAS Finance
First Finance Ltd
Premier Leasing Ltd
Phoenix Finance Ltd
Peoples Leasing Ltd
NCC Bank Ltd
SIBL
Mercantile Bank Ltd
Bangladesh Commerce Bank Ltd
BIFC

Amount in Taka	
2016	2015
37,166	7,905,870
139,629	749,882
176,795	8,655,752
11,354,730	143,867,168
14,022,028	4,366,279
6,235,682	12,000
7,850,222	-
10,586	9,783
39,473,248	148,255,230
389,767,033	497,754,468
398,758,075	552,148,675
164,856,022	20,000
154,990,832	211,205,432
215,965,998	20,000,000
-	224,215,833
627,952,426	368,802,407
-	3,567,559,474
278,844,537	90,000,000
31,445,160	50,000,000
1,268,161,946	1,351,550,263
-	201,897,500
71,039,733	20,000,000
-	52,025,000
248,289,606	90,000,000
111,080,832	155,130,896
1,001,883,056	472,700,000
259,295,817	100,000,000
56,782,548	53,846,180
526,410,574	173,176,250
1,011,691,331	815,818,750
345,906,479	112,230,808
21,055,032	20,000,000
-	931,296,197
10,000	4,582,116,498
392,315,384	205,769,095
186,271,493	30,000,000
301,785,000	-
537,141,001	-
-	-
1,313,220,203	2,487,171,736
200,892,500	-
175,291,900	-
250,000,000	-
104,799,806	-
150,000,000	-
91,131,328	-
256,564,915	-
50,000,000	-
50,000,000	-
70,000,000	-
11,313,600,567	17,436,435,462



Amount in Taka	
2016	2015

4.4 Maturity grouping of balance with banks and other financial institutions

On demand	176,795	8,655,752
Up to 1 month	39,473,248	148,255,230
Over 1 month but not more than 3 months	8,485,200,425	12,554,233,533
Over 3 months but not more than 1 year	2,828,400,142	4,882,201,929
Over 1 year but not more than 5 years	-	-
Over 5 years	-	-
	11,353,250,610	17,593,346,444

5 Money at call and short notice

-	-
-	-

6 Investments

Investment classified as per nature:

Government (Note -6.1)

Others (Note-6.2)

-	-
2,505,544,789	-
2,505,544,789	-

6.1 Government Securities:

Treasury bills

National investment bonds

Bangladesh Bank bills

Government notes / bonds

Others

-	-
-	-
-	-
-	-
-	-
-	-

6.2 Other investments

Investment in Preference Share (6.2.1) - 57

Investment in Commercial Paper (6.2.2) 172

Investment in Bond (6.2.3) -10

450,000,000	-
1,650,000,000	-
405,544,789	-
2,505,544,789	-

6.2.1 Investment in Preference Share

Summit Barisal Power Limited

Summit Narayanganj Power Limited

250,000,000	-
200,000,000	-
450,000,000	-

6.2.2 Investment in Commercial Paper

MAX infrastructure Ltd

Durable Plastic Ltd

Energypac Ltd

Computer Source Ltd

400,000,000	-
500,000,000	-
500,000,000	-
250,000,000	-
1,650,000,000	-

6.2.3 Investment in Bond

IDLC Zero Coupon Bond

405,544,789	-
405,544,789	-



		Amount in Taka	
		2016	2015
7 Leases, Loans and advances :			
a) Inside Bangladesh			
Leases (Note -7.1)	-	-	
Loans	7,790,365,136	4,358,268,450	
Cash credits	-	-	
Overdrafts	-	-	
Sub-total	7,790,365,136	4,358,268,450	
b) outside Bangladesh	-	-	
Total	7,790,365,136	4,358,268,450	
7.1 Leases	-	-	
7.2 Sector wise leases, loans and advances			
Public sector	3,099,044,331	-	
Co-operative sector	-	-	
Private sector	4,691,320,805	4,358,268,450	
	7,790,365,136	4,358,268,450	
7.3 Residual maturity grouping of leases, loans and advances			
On demand	-	-	
Up to 1 month	-	-	
Over 1 month but not more than 3 months	1,012,747,468	566,574,899	
Over 3 months but not more than 1 year	2,492,916,844	1,394,645,904	
Over 1 year but not more than 5 years	2,726,627,798	1,525,393,958	
Over 5 years	1,558,073,027	871,653,690	
	7,790,365,136	4,358,268,450	
7.4 Leases, loans and advances on the basis of significant			
a. Leases, loans and advances to Directors and organizations related	-	-	
b. Leases, loans and advances to Chief Executive Officer and other senior executives	91,622	141,626	
c. Leases, loans and advances to customers groups:	-	-	
d. Leases, loans and advances on sector basis:	-	-	
i) Textiles	-	-	
ii) Garments and Accessories	-	-	
iii) Transport (including Marin Transport)	3,800,000,000	120,000,000	
iv) Chemicals and pharmaceuticals	-	-	
v) Iron, Steel and Engineering	-	-	
vi) Agricultural Equipments and Agro Industries	-	-	
vii) Power and Energy	270,054,602	1,281,890,477	
viii) Electronics and Electrical	-	-	
ix) Information technology (IT)	-	-	
x) Paper printing and Packaging	-	-	
xi) Plastic	-	-	
xii) Real Estate and Housing	-	-	
xiii) Food and Beverage	-	-	
xiv) Glass and Ceramics	102,481,875	-	
xv) Services	518,692,706	-	
xvi) Others	3,099,044,331	2,956,236,347	
Sub-total	7,790,365,136	4,358,268,450	



Amount in Taka	
2016	2015

7.5 Leases, loans and advances on geographical basis:

Inside Bangladesh:

Urban :

Dhaka Division	7,790,365,136	4,358,268,450
Chittagong Division	-	-
Khulna Division	-	-
Rajshahi Division	-	-
Barisal Division	-	-
Sylhet Division	-	-
Sub-total	7,790,365,136	4,358,268,450

Rural :

Dhaka Division	-	-
Chittagong Division	-	-
Khulna Division	-	-
Rajshahi Division	-	-
Barisal Division	-	-
Sylhet Division	-	-
Sub-total	-	-

Outside Bangladesh:

Total	7,790,365,136	4,358,268,450
--------------	----------------------	----------------------

7.6 Classification of Leases, loans and advances :

Unclassified :

Standard	7,790,365,136	4,358,268,450
Special mention account	-	-
Sub-total	7,790,365,136	4,358,268,450

Classified :

Sub-standard	-	-
Doubtful	-	-
Bad/Loss	-	-
Sub-total	-	-
Total	7,790,365,136	4,358,268,450

8 Bills purchased and discounted

Payable in Bangladesh	-	-
Payable outside Bangladesh	-	-
	-	-



9 Fixed assets including premises, furniture and fixtures:**Cost:**

Opening Balance

Addition during the year

Adjustment during the year

Closing Balance (A)

Less: Accumulated Depreciation :

Opening Balance

Charged during the year:

Adjustment during the year

Closing Balance (B)

Written Down Value (A-B) (Annexure -A)

10 Other assets

Advance income tax (Note -10.01)

Interest receivable on FDR

Security deposit

Advance to suppliers

Advance for Purchase Office Premise

Advance to Srehatta Economic Zone

Office rent receivable

Deferred tax assets (Note-10.2)

Advance to Staff

Receivable against investment (Note-10.3)

10.1 Advance income tax

Opening balance

Income tax deducted at sources

Paid during the year

Less: Adjustment of AIT on FDR

10.2 Deferred tax assets

Opening balance

Deferred tax income during the year

Tax deductible temporary difference

Gratuity payable

Applicable tax rate

Closing deferred tax assets

10.3 Receivable against investment

Dividend receivable (Note-10.3.1)

Interest receivable on commercial paper (Note-10.3.2)

Interest receivable on zero coupon bond (Note-10.3.4)

Amount in Taka	
2016	2015
16,760,189	13,572,627
303,467,787	3,187,562
320,227,976	16,760,189
-	-
320,227,976	16,760,189
8,908,132	7,268,207
14,939,997	1,639,925
23,848,129	8,908,132
-	-
23,848,129	8,908,132
296,379,847	7,852,057
2,265,245,371	2,606,744,317
94,462,441	245,148,928
63,975	11,475
830,255	473,672
-	130,000,000
-	750,000
966,132	296,350
987,182	369,910
701,923	-
62,852,428	-
2,426,109,706	2,983,794,652
2,606,744,317	1,137,841,620
122,928,325	184,613,245
693,844,719	1,284,289,452
1,158,271,990	-
2,265,245,371	2,606,744,317
369,910	362,954
617,272	6,956
987,182	369,910
2,322,781	870,376
42.50%	42.50%
987,182	369,910
7,982,877	-
53,587,500	-
1,282,051	-
62,852,428	-



		Amount in Taka	
		2016	2015
10.3.1 Receivable in Preference Share			
Summit Barisal Power Limited		4,434,931	-
Summit Narayanganj Power Limited		3,547,946	-
		<u>7,982,877</u>	<u>-</u>
10.3.2 Receivable in Commercial Paper			
MAX infrastructure Ltd		38,150,000	-
Durable Plastic Ltd		7,104,167	-
Energypac Ltd		8,333,333	-
		<u>53,587,500</u>	<u>-</u>
10.3.3 Receivable in Bond			
IDLC Zero Coupon Bond		1,282,051	-
		<u>1,282,051</u>	<u>-</u>
11 Non-business assets		<u>-</u>	<u>-</u>
12 Borrowings from banks, other financial institutions and agents			
Advance from BB Refinance Scheme		4,385,528	6,000,000
SOD Loan Payable - United Commercial Bank Ltd.		-	150,145,833
SOD Loan Payable - IFIC Bank Ltd.		-	591,971,116
		<u>4,385,528</u>	<u>748,116,949</u>
13 Deposits and other accounts		<u>-</u>	<u>-</u>
14 Other Liabilities			
Provision for Income Tax	14.1	2,311,030,387	2,862,872,525
Accounts Payable	14.2	6,259,343	2,946,525
Advance Commercial Space Rent		966,129	592,697
Provision for Loan, Lease & Advance		103,517,965	43,581,268
Deferred tax liabilities	14.3	8,170,713	604,592
Employee benefit liabilities	14.4	2,322,781	870,376
Audit fees payable		65,000	69,000
Accounts Payable - Borak Unique Heights		3,500,000	-
		<u>2,435,832,316</u>	<u>2,911,536,983</u>
14.1 Provision for income tax			
Opening balance		2,862,872,525	2,097,286,641
Add: Addition during this year		606,429,852	765,585,884
Less : Adjustment this year		1,158,271,990	-
		<u>2,311,030,387</u>	<u>2,862,872,525</u>
14.2 Accounts Payable:			
Salary payable		963,430	1,332,776
Withholding tax		503,524	106,308
Withholding VAT		803,622	1,507,441
Bills Payable		3,988,767	-
		<u>6,259,343</u>	<u>2,946,525</u>



		Amount in Taka	
		2016	2015
14.3 Deferred tax liabilities			
Opening balance		604,592	828,865
Deferred tax (income)/expense during the year		7,566,121	(224,273)
		8,170,713	604,592
Taxable temporary difference			
Carrying amount of fixed assets as per accounting base		296,524,594	7,688,257
Carrying amount of fixed assets as per tax base		277,299,387	6,265,687
Taxable temporary difference on fixed assets		19,225,206	1,422,570
Applicable tax rate		42.50%	42.50%
Closing deferred tax liabilities		8,170,713	604,592
Deferred tax liabilities at the beginning of the year		604,592	828,865
Deferred tax (income)/expense during the year		7,566,121	(224,273)
14.4 Employee benefit liabilities			
Gratuity payable - ED & CEO		792,000	-
Gratuity payable - Staff		1,617,405	870,376
Total		2,409,405	870,376
Paid during the year		86,625	-
		2,322,781	870,376
15 Share Capital:			
15.1 Authorized capital			
1,000,000,000 Ordinary shares of Tk. 100 each		100,000,000,000	100,000,000,000
15.2 Issued, Subscribed & Paid up Capital :			
201,000,000 shares & 194,000,000 Shares @Tk 100 each		20,100,000,000	19,400,000,000
15.3 Capital adequacy and market discipline			
As per Capital Adequacy and Market Discipline for Financial Institutions guideline of Bangladesh Bank, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.			
Tier-I (Core Capital)			
Fully paid-up capital/ capital lien with BB		20,100,000,000	19,400,000,000
Statutory reserve		1,242,007,225	1,087,324,226
Non-repayable share premium account		-	-
General reserve		-	-
Retained earnings		648,028,901	849,296,903
Minority interest in subsidiaries		-	-
Non- cumulative irredeemable preference shares		-	-
Dividend equalization account		-	-
Other (if any item approved by Bangladesh Bank)		-	-
Sub-Total		21,990,036,126	21,336,621,129



		Amount in Taka	
		2016	2015
Deductions from tier-1(Core capital)			
Book value of goodwill and any value of any contingent assets which	-	-	-
Shortfall in provisions required against classified assets	-	-	-
Shortfall in provisions required against investment in share	-	-	-
Remaining deficit on account of revaluation of investments	-	-	-
in securities after netting off any other surplus on the securities	-	-	-
Any investment exceeding the approved limit	-	-	-
Investments in subsidiaries which are not consolidated	-	-	-
Other (if any)	-	-	-
Sub-Total	-	-	-
Total eligible Tier-1 capital		21,990,036,126	21,336,621,129
2. Tier-2 (Supplementary capital)			
General provision (Unclassified up to special limit+SMA+ off	103,517,965	43,581,268	
balance sheet exposure)	-	-	
Assets revaluation reserves upto 50%	-	-	
Revaluation reserve for securities upto 50%	-	-	
All other preference shares	-	-	
Other (if any item approved by Bangladesh Bank)	-	-	
Sub-Total	103,517,965	43,581,268	
Deductions, if any	-	-	
Total eligible Tier-2 capital	103,517,965	43,581,268	
Total capital	22,093,554,091	21,380,202,397	
Total risk weighted asset	7,984,306,514	19,007,500,000	
Required capital	798,430,651	1,900,750,000	
Surplus / (Deficit)	21,295,123,440	19,479,452,397	
Capital adequacy ratio (CAR)	276.71%	112.48%	
On core capital (Tier-1)	275.42%	112.25%	
On supplementary capital (Tier-2)	1.30%	0.23%	
16 Share premium	-	-	
17 Statutory reserve			
Opening balance	1,087,324,226	886,851,618	
Add: Transferred during the year	154,682,999	200,472,608	
Closing balance	1,242,007,225	1,087,324,226	

According to the Rule 6 of The Financial Institutions Regulation 1994, the company transfers 20% of its net profits for the respective year to statutory reserve.



18 Other Reserve:

The company doesn't maintain any other reserve.

19 Retained earnings

Opening balance

Add: Net profit for the year

Less: Transferred to statutory reserve

Less: Stock Dividend transferred to Paid up Capital

Less: Cash Dividend transferred to Paid up Capital

Closing balance

Amount in Taka	
2016	2015
-	-
849,296,903	3,547,406,471
773,414,997	1,002,363,040
1,622,711,900	4,549,769,511
154,682,999	200,472,608
700,000,000	3,400,000,000
120,000,000	100,000,000
648,028,901	849,296,903



		Amount in Taka	
		2016	2015
20	Income Statement		
20.1	Income		
	Interest, discount and similar income	-	-
	Interest income on leases, loans and advances (Note-21)	412,661,561	188,049,291
	Investment income (Note-23)	111,305,553	-
	Other operating income (Note - 24)	1,059,607,290	1,677,323,789
		1,583,574,404	1,865,373,080
20.2	Expenses		
	Interest expenses on deposits, borrowings, etc.: (Notes-22)	36,272,212	22,909,751
	Salary and allowances (Note-25)	25,482,859	13,944,949
	Rent, taxes, insurance, electricity, etc. (Note-26)	7,162,062	4,224,990
	Legal expenses (Note-27)	2,691,756	1,112,807
	Postage, stamp, telecommunication etc. (Note-28)	2,117,637	274,763
	Stationery, printing, advertisement etc. (Note-29)	10,523,212	3,416,927
	Managing Director's salary and allowances (Note-30)	9,083,160	5,593,211
	Directors' fee (Note-31)	1,286,705	619,957
	Auditors' fee (Note-32)	104,200	69,000
	Depreciation and repairs of company's assets (Note-33)	25,582,091	5,494,391
	Other administrative expenses (Note - 34)	16,538,115	6,744,149
		136,844,009	64,404,895
21	Interest income on leases, loans and advances:		
	Interest income from Term Loan (Note - 21.1)	412,661,561	188,049,291
		412,661,561	188,049,291
21.1	Interest income from Term Loan		
	Sinha Peoples Energy Ltd.	80,572,432	152,679,436
	ARB Bricks	464,227	457,933
	First Dhaka Elevated Expressway	123,323,928	678,333
	Regent Energy & power Ltd.	33,480,946	4,216,667
	Srehatta Economic Zone	148,462,072	30,016,922
	Makrail AutoBricks Ltd	2,971,250	-
	Sea Pearl	23,386,706	-
		412,661,561	188,049,291



		Amount in Taka	
		2016	2015
22 Interest expenses on deposits, borrowings, etc.:			
Interest expense on SOD loan - Rupali Bank Ltd.		10,551,152	20,792,803
Interest expense on SOD loan - United Commercial Bank Ltd.		1,007,735	145,833
Interest expense on SOD loan - IFIC Bank Ltd.		15,334,387	1,971,115
Interest expense on SOD loan - IDLC.		60,764	-
Interest expense on SOD loan - First Security Islami Bank Ltd.		87,500	-
Interest expense on SOD loan - NRB Global Bank Ltd.		324,167	-
Interest expense on SOD loan - Farmers Bank Ltd.		3,956,500	-
Interest expense on SOD loan - Janata Bank Ltd.		4,783,340	-
Interest expense on SOD loan - Premier Bank Ltd.		166,667	-
		36,272,212	22,909,751
23 Investment income:			
Interest income from Commercial Paper (Note - 23.1)		82,025,000	-
Interest Income from Bond (Note - 23.2)		1,282,051	-
Dividend Income from Preference Share (Note - 23.3)		27,998,502	-
		111,305,553	-
23.1 Interest income from Commercial Paper :			
Bangla Trac Ltd		20,250,000	-
Computer Source Ltd		8,187,500	-
Max infrastructure Ltd		38,150,000	-
Energypac Ltd		8,333,333	-
Durable Plastics		7,104,167	-
		82,025,000	-
23.2 Interest Income from Bond :			
IDLC Zero Coupon Bond		1,282,051	-
		1,282,051	-
23.3 Dividend Income from Preference Share :			
Summit Narayanganj		12,443,779	-
Summit Barisal		15,554,723	-
		27,998,502	-
24 Other operating income:			
Interest revenue (FDR)		910,394,830	1,413,681,961
Accrued interest revenue (FDR)		94,462,441	245,148,928
Interest on SND		27,823,305	10,805,901
Revenue from fees (Note - 24.1)		21,690,078	7,390,650
Income from office rent		5,236,636	296,349
		1,059,607,290	1,677,323,789



		Amount in Taka	
		2016	2015
24.1 Revenue from fees			
Due diligence fee		1,924,239	7,235,150
Loan application fee		612,725	140,000
Fees from recruitment application		-	15,500
Participation Fees		262,500	-
Delinquency Fees		18,518,114	-
Agency Fees		200,000	-
Legal Fees Income		172,500	-
		21,690,078	7,390,650
25 Salary and allowances:			
Salary and allowances		22,705,788	12,885,173
Bonus		2,030,062	1,043,409
Gratuity provision		747,009	16,367
		25,482,859	13,944,949
26. Rent, taxes, insurance, electricity, etc.			
Rent and taxes		2,462,394	3,514,044
Electricity and wasa bill		1,630,715	710,946
Excise Duty		1,934,000	-
Health Insurance Premium		377,688	-
Insurance vehicle		757,265	-
		7,162,062	4,224,990
27. Legal expenses:			
Legal expense		208,500	149,085
Renewal & Registration		2,482,112	963,722
Stamp Cost		1,144	-
		2,691,756	1,112,807
28. Postage, stamp, telecommunication etc.:			
Postage and courier		212,397	4,406
Telephone, fax, internet and mobile		782,398	270,357
Internet & networking Expense		445,992	-
Internet Bandwith Charge		676,850	-
		2,117,637	274,763
29 Stationery, printing, advertisement, etc.:			
Printing and stationery		2,590,984	1,546,902
Advertisement and publicity		3,469,890	1,011,638
Books & Periodicals		101,810	46,465
Business Development Expense		2,773,709	811,922
CSR expenses		1,586,819	-
		10,523,212	3,416,927



		Amount in Taka	
		2016	2015
30 Chief executive's salary and allowances :			
Remuneration	7,499,160	4,631,072	
Festival Bonus	792,000	720,000	
Medical allowances	-	189,000	
Gratuity	792,000	-	
Telephone & Internet Allowance	-	53,139	
	9,083,160	5,593,211	
31 Directors' fees :			
Directors honorarium	1,286,705	619,957	
	1,286,705	619,957	
32 Audit fees	104,200	69,000	
33 Depreciation and repairs of company's assets:			
Repair & maintenance	10,642,094	3,854,466	
Depreciation on company's fixed assets (Annexure-A)	14,939,997	1,639,925	
	25,582,091	5,494,391	
34 Other administrative expenses:			
Office maintenance	3,338,502	780,417	
Travelling and conveyances	602,898	191,291	
Training Expenditure	932,955	313,535	
Bank Charge & Commission	47,888	12,843	
Entertainment expenses	2,205,860	958,714	
Promotional Expenditure	2,091,929	2,033,096	
Consultancy fee	424,192	280,096	
AGM Expenditure	1,529,423	455,457	
Donation & Subscription	193,375	130,000	
Office Meeting Expenses	245,321	570,873	
Project Site Supervision Expense	613,742	153,248	
Board Meeting Expense	1,020,672	634,579	
Tax Consultant Fee	-	230,000	
Recruitment Expense	1,070,000	-	
Membership Expense	400,000	-	
CIB Charge	662,666	-	
Retreat Expense	1,158,692	-	
	16,538,115	6,744,149	
35 Provision for leases, loans and advances:			
Provision for classified leases, loans and advances	-	-	
Provision for unclassified leases, loans and advances	59,936,697	33,250,490	
	59,936,697	33,250,490	



		Amount in Taka	
		2016	2015
36 Provision for income tax:			
Current tax (Note-36.1)		606,429,852	765,585,884
Deferred tax expense during the year		6,948,849	(231,228)
		613,378,700	765,354,656
36.1 Current tax expense:			
Income tax expense during the year		602,002,712	765,585,884
Previous year shortage of tax provision		4,427,140	-
		606,429,852	765,585,884

- 37 Earning per share :**
Earning per share (EPS) is calculated in accordance with Bangladesh Accounting Standard No. 33. Earning per share has been calculated as follows:

Net profit after tax	773,414,997	1,002,363,040
Number of ordinary shares outstanding	201,000,000	201,000,000
Earning per share (restated)	3.85	4.99

The EPS for the year ended 31 December 2015 is being restated as 7,000,000 no. of stock dividend was issued for the year ended 31 December 2015.

38 Related party disclosures :

The company doesn't have any transaction with related party.

39 Unacknowledged debt :

The Company had no claim against it which has not been acknowledged as debt at the balance sheet date.

40 Receivable from directors :

No amount is due from any of the directors of the Company.

41 Disclosure regarding branch :

As at December 2016, the company has no branch in or outside of Bangladesh.

42 Disclosure of Executive Committee :

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee of the company comprising members from the Board and the committee met several times during the year 2016.

43 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.

44 Authorisation for issue

These financial statements were approved and authorised for issue on 13 May 2017 by the Board of Directors in the 53rd Board Meeting.

45 Events after reporting period

The Board of Directors in the 53rd board meeting dated 13 May 2017 had recommended cash dividend of Taka 150,000,000 as well as stock dividend of Taka 490,000,000 for the year ended 31 December 2016. for placement before the shareholders for approval at upcoming AGM of the company.

Except the fact stated above, there is no material events after the reporting date that are not adjusting events came to management attention which may be needful for the stakeholders.



Bangladesh Infrastructure Finance Fund Ltd.
Schedule of Fixed Assets & Intangible Assets
As at 31 December 2016

Particulars	Cost				Depreciation				Amount in Taka		
	Balance as at 01.01.16	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.16	Rate	Balance as at 01.01.16	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.16	As at 31.12.16	As at 31.12.15
Computer & IT Equipment:											
Scanner & Printer	236,200	221,032	-	457,232	33.33%	100,770	55,366	-	156,136	301,096	135,430
Desktop PC	1,640,691	1,665,785	-	3,306,476	33.33%	792,671	575,725	-	1,368,396	1,938,080	848,020
	215,000	139,100	-	354,100	33.33%	55,700	171,831	-	227,531	126,569	159,300
L.T Pannel & PFI Plant & PABX											
Multimedia Projector	101,860	141,840	-	243,700	33.33%	44,469	16,516	-	60,985	182,715	57,391
Projector Screen	20,000	-	-	20,000	33.33%	10,830	5,866	-	16,696	3,304	9,170
Wifi System	-	432,000		432,000	33.33%	-	77318		77,318	354,682	-
Office Equipment & others:											
Office Equipment	906,164	2,211,735	-	3,117,899	10%	111,866	252,475	-	364,341	2,753,558	794,298
Electric Meter	9,400	-	-	9,400	10%	2,820	940	-	3,760	5,640	6,580
Wasa Meter	5,980	-	-	5,980	10%	1,674	598	-	2,272	3,708	4,306
Civil Construction	1,536,612	-	-	1,536,612	50%	177,659	679,477	-	857,136	679,477	1,358,953
Building	-	291,527,555	-	291,527,555	10%	-	10,761,712	-	10,761,712	280,765,843	-
Furniture	1,163,711	1,732,760	-	2,896,471	10%	184,155	202,626	-	386,781	2,509,690	979,556
Vehicle	10,639,211	5,395,980	-	16,035,191	20%	7,140,157	2,139,548	-	9,279,705	6,755,486	3,499,054
Sub total	16,474,829	303,467,787	-	319,942,616		8,622,772	14,939,997	-	23,562,769	296,379,847	7,852,057
Intangible assets											
Website	172,500	-	-	172,500	50%	172,500	-	-	172,500	-	-
Accounting software	112,860	-	-	112,860	50%	112,860	-	-	112,860	-	-
Sub total	285,360	-	-	285,360		285,360	-	-	285,360	-	-
Total	16,760,189	303,467,787	-	320,227,976		8,908,132	14,939,997	-	23,848,129	296,379,847	7,852,057

